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Case Study 1: Auchan

Auchan is a hypermarket company started in France. The founder, Gerard Mulliez, successfully started his own store in the 60s and slowly built his empire of creating hypermarkets throughout different French regions before expanding abroad. By the 80s, they would expand to Spain, and by 2010, the company has expanded to many different regions including Eastern Europe, Central Europe, Asia, as well as the African continent. The company became one of the first foreign businesses to enter the Russian market which was considered valuable for its location, size, and economic potential. Russia became the third largest operation after France and Spain and accounts for 10% of Auchan's revenue turn over. However, after the start of the war, Auchan now faces many decisions on what to do with its operations in Russia. Ultimately, they must decide whether to stay or exit the Russian market all together and consider all the factors involved.

When looking at why they should leave, there are many pros and cons the company must go through first. One of the biggest issues regarding exiting the market would be the expenses tied to it. There would be a deep sunken cost considering operations within Russia they need to shut down, resources they have stored, the amount of hypermarkets they had previously built and now need to sell, etc. Another issue would be the obligation to its employees and team within Russia. To shut down an operation that accounts for 10% of your yearly revenue and exit a market that's the third largest in your expansion project means letting go of all your employees that work in these individual stores as well as those who oversee the Russian department within your team. This also brings up another important issue that is the loss of your reputation with this region and the workers. Auchen was one of the first foreign companies to entrench into the Russian market and clearly made some close stable relationships within the market. Exiting the market at this point would be considered apathetic towards Russian investors. While it is hard to predict how this war will end or how long it will take, there will reach a point when the Russian market is stable enough for re-entry. However, the relationships we break by leaving today can forever damage the reputation of Auchan within this market and make reentry harder. It is also important to mention the business strategy of Auchan and how this move would fit into that. Auchan is invested in globalization and internationalizing their hyper-market retail chain across borders. By backing out of a market that makes up a large % of their sales and operations would mean reevaluating their business strategy as a company as well. While this is more of a conceptual loss, it can still turn into real material losses as well. Auchan is not doing as well domestically and were prioritizing internationalizing over the French market. By taking a step back from a crucial foreign market, Auchan would have to reevaluate where they want to go as a company and what they want to do. Exiting and re-entering markets depending on political risk would carry a lot of costs and a distasteful reputation to future investors, especially in other regions of the world where geopolitical risk calculations cannot accurately be estimated as easily as they are in western countries. If Auchan wants to be committed to the business strategy of internationalizing, they must also be ready to face the potential political risks that comes with it.

When looking at the factors they must consider if they want to stay in the Russian market, there are also a lot of nuances to take into account. The largest issue would come from the perceived meaning of their stance to stay in the Russian market and what that entails for its operations in France and Spain. Auchen is a French company that is already struggling domestically, staying in Russia whilst the EU is against the war and aiding Ukraine would lead to potential protests and boycotts within France. This would further their domestic losses and would have to rely on their international business ventures as a means of successfully operating their company. Another huge factor to consider is the material losses and money needing to be spent. Current sanctions being placed on Russia means higher operation and exporting costs. They could also lose investors and partners in other European regions they are trying to do business in and this would mean reconstructing the entire operations structure just to suit the Russian market. On top of costs, it is also important to mention the revenue will look different as well. Spending habits, especially in times of war, will dramatically decrease and many people will be more prone to shopping locally vs a hypermarket. This could impact sales and overall inflation would make revenue look significantly different. Another important issue to consider is also safety. Times of war means legitimate concerns of safety for your employees and business operations. You can not say for certain that the locations your stores are in are considered safe from bombardment or attacks and how the devastation to the land can impact your own operations.

Overall, there are many things we must consider for either staying or exiting the Russian market. While I believe that ultimately, leaving the Russian market would be counterintuitive to the business strategy Auchan believes in, I do believe steps need to be taken in order to lessen the political tension. Coming up with a plan of action on how to change your operations within Russia is a key first step. Communicating with the public as well as buyers and investors on your stance as a company is also crucial to alleviate potential boycotts and protests. I also believe investing in Auchan's online presence as an e-commerce platform could benefit the company and create a route most neutral to the political implications of staying and doing business in Russia. By investing in internationalizing their e-commerce and shopping platform, they can alleviate material costs and potentially see higher revenue through growing online channels.